

Throughput Accounting

SLIBRARY 07 · SHEET 4 / 5

Bottleneck-driven gain measurement

PROFESSIONAL DEFINITION

Throughput Accounting evaluates decisions by their effect on throughput, inventory and operating expense, prioritising the system's constraint rather than local efficiencies.

WHO DEVELOPED IT

Developed by Eliyahu Goldratt as part of the Theory of Constraints, set out in *The Goal* (1984) and Throughput Accounting literature.

WHY IT WAS DEVELOPED

It was developed to counter cost-accounting distortions that reward local efficiency while ignoring the bottleneck that governs total output.

FIGURE 1 · THROUGHPUT ACCOUNTING

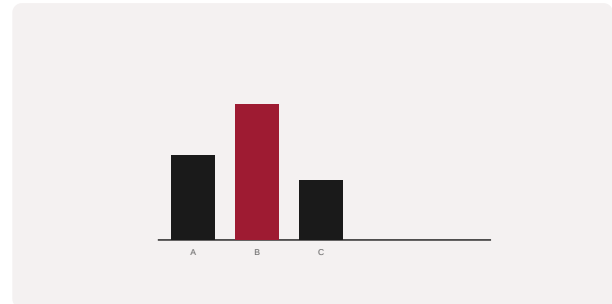


Figure 1. A schematic of the Throughput Accounting as applied in BARBM312 (illustrative).

HOW IT IS USED

Decisions, including AI investments, are judged by their effect on the constraint; improving a non-bottleneck is treated as illusory gain.

WHEN IT IS USED

When prioritising AI investment in operations and avoiding optimisation of non-bottlenecks.

BY WHOM IT IS USED

Operations and finance leaders.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

It reframes performance around the system constraint, ensuring AI effort flows to the bottleneck that actually limits throughput.

RELATED FRAMEWORKS IN THIS COURSE

Cost-to-Serve Curve · Slibrary 7

Process Cycle Efficiency · Slibrary 7

Lean Waste Lens (AI) · Slibrary 7

Effort-Value Reallocation · Slibrary 7

SOURCES (HARVARD REFERENCING STYLE)

Goldratt, E.M. (1984) *The Goal*. Great Barrington: North River Press.

Corbett, T. (1998) *Throughput Accounting*. Great Barrington: North River Press.